



IMPERIALISM, THE HIGHEST STAGE OF CAPITALISM

V.I. Lenin

THE EXPORT OF CAPITAL

Under the old capitalism, when free competition prevailed, the export of goods was the most typical feature. Under modern capitalism, when monopolies prevail, the export of capital has become the typical feature.

Capitalism is commodity production at the highest stage of development, when labour power itself becomes a commodity. The growth of internal exchange, and particularly of international exchange, is the characteristic distinguishing feature of capitalism. The uneven and spasmodic character of the development of individual enterprises, of individual branches of industry and individual countries, is inevitable under the capitalist system. England became a capitalist country before any other, and in the middle of the nineteenth century, having adopted free trade, claimed to be the "workshop of the world," the great purveyor of manufactured goods to all countries, which in exchange were to keep her supplied with raw materials. But in the last quarter of the nineteenth century, *this* monopoly was already undermined. Other countries, protecting themselves by tariff walls, had developed into independent capitalist states. On the threshold of the twentieth century, we see a new type of monopoly coming into existence. Firstly, there are monopolist capitalist combines in all advanced capitalist countries; secondly, a few rich countries, in which the accumulation of capital reaches gigantic proportions, occupy a monopolist position. An enormous "superabundance of capital" has accumulated in the advanced countries.

It goes without saying that if capitalism could develop agriculture, which today lags far behind industry everywhere, if it could raise the standard of living of the masses, who are everywhere still poverty-stricken and underfed, in spite of the amazing advance in technical knowledge, there could be no talk of a superabundance of capital. This "argument" the petty-bourgeois critics of capitalism advance on every occasion. But if capitalism did these things it would not be capitalism; for uneven development and wretched conditions of the masses are fundamental and inevitable conditions and premises of this mode of production. As long as capitalism remains what it is, surplus capital will never be utilized for the purpose of raising the standard of living of the masses in a given country, for this would mean a decline in profits for the capitalists; it will be used for the pur-

pose of increasing those profits by exporting capital abroad to the backward countries. In these backward countries profits are usually high, for capital is scarce, the price of land is relatively low, wages are low, raw materials are cheap. The possibility of exporting capital is created by the fact that numerous backward countries have been drawn into international capitalist intercourse; main railways have either been built or are being built there; the elementary conditions for industrial development have been created, etc. The necessity for exporting capital arises from the fact that in a few countries capitalism has become "over-ripe" and (owing to the backward state of agriculture and the impoverished state of the masses) capital cannot find "profitable" investment. . . .

THE DIVISION OF THE WORLD AMONG CAPITALIST COMBINES

Monopolist capitalist combines—cartels, syndicates, trusts—divide among themselves, first of all, the whole internal market of a country, and impose their control, more or less completely, upon the industry of that country. But under capitalism the home market is inevitably bound up with the foreign market. Capitalism long ago created a world market. As the export of capital increased, and as the foreign and colonial relations and the "spheres of influence" of the big monopolist combines expanded, things "naturally" gravitated towards an international agreement among these combines, and towards the formation of international cartels. . . .

International cartels show to what point capitalist monopolies have developed, and they *reveal the object* of the struggle between the various capitalist groups. This last circumstance is the most important; it alone shows us the historic-economic significance of events; for the *forms* of the struggle may and do constantly change in accordance with varying, relatively particular, and temporary causes, but the *essence* of the struggle, its class *content*, *cannot* change while classes exist. It is easy to understand, for example, that it is in the interests of the German bourgeoisie, whose theoretical arguments have now been adopted by Kautsky (we will deal with this later), to obscure the *content* of the present economic struggle (the division of the world) and to emphasise this or that *form* of the struggle. Kautsky makes the same mistake. Of course, we have in mind not only the German bourgeoisie, but the bourgeoisie all over the world. The capitalists divide the world, not out of any particular malice, but because the degree of concentration which has been reached forces them to adopt this method in order to get profits. And they divide it in proportion to "capital," in proportion to "strength," because there cannot be any other system of division under commodity production and capitalism. But strength varies with the degree of economic and political development. In order to understand what takes place, it is necessary to know what questions are settled by this change of forces. The question as to whether these changes are "purely" economic or *non-economic* (e.g., military) is a secondary one, which does not in the least affect the fundamental view on the latest epoch of capitalism. To substitute for the question of the *content* of the struggle and agreements between capitalist combines the question of the *form* of these struggles and agreements (today peaceful, tomorrow war-like, the next day war-like again) is to sink to the role of a sophist.

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From Betts, Conflict After the Cold War

The epoch of modern capitalism shows us that certain relations are established between capitalist alliances, *based* on the economic division of the world; while parallel with this fact and in connection with it, certain relations are established between political alliances, between states, on the basis of the territorial division of the world, of the struggle for colonies, of the "struggle for economic territory."

THE DIVISION OF THE WORLD AMONG THE GREAT POWERS

In his book, *The Territorial Development of the European Colonies*, A. Supan, the geographer, gives the following brief summary of this development at the end of the nineteenth century:

Percentage of Territories Belonging to the European Colonial Powers (Including United States)			
	1876	1900	Increase or Decrease
Africa	10.8	90.4	+79.6
Polynesia	56.8	98.9	+42.1
Asia	51.5	56.6	+5.1
Australia	100.0	100.0	—
America	27.5	27.2	-0.3

"The characteristic feature of this period," he concludes, "is therefore, the division of Africa and Polynesia."

As there are no unoccupied territories—that is, territories that do not belong to any state—in Asia and America, Mr. Supan's conclusion must be carried further, and we must say that the characteristic feature of this period is the final partition of the globe—not in the sense that a *new* partition is impossible—on the contrary, new partitions are possible and inevitable—but in the sense that the colonial policy of the capitalist countries has *completed* the seizure of the unoccupied territories on our planet. For the first time the world is completely divided up, so that in the future *only* redivision is possible; territories can only pass from one "owner" to another, instead of passing as unowned territory to an "owner."

Hence, we are passing through a peculiar period of world colonial policy, which is closely associated with the "latest stage in the development of capitalism," with finance capital. For this reason, it is essential first of all to deal in detail with the facts, in order to ascertain exactly what distinguishes this period from those preceding it, and what the present situation is. In the first place, two questions of fact arise here. Is an intensification of colonial policy, an intensification of the struggle for colonies, observed precisely in this period of finance capital? And how, in this respect, is the world divided at the present time?

The American writer, Morris, in his book on the history of colonization¹ has made an attempt to compile data on the colonial possessions of Great Britain, France and Germany during different periods of the nineteenth century. The following is a brief summary of the results he has obtained:

Colonial Possessions						
(Million square miles and million inhabitants)						
Great Britain		France		Germany		
Area	Pop.	Area	Pop.	Area	Pop.	
1815-30	?	126.4	0.02	0.5	—	—
1860	2.5	145.1	0.2	3.4	—	—
1880	7.7	267.9	0.7	7.5	—	—
1899	9.3	309.0	3.7	56.4	1.0	14.7

For Great Britain, the period of the enormous expansion of colonial conquests is that between 1860 and 1880, and it was also very considerable in the last twenty years of the nineteenth century. For France and Germany this period falls precisely in these last twenty years. We saw above that the apex of premonopoly capitalist development, of capitalism in which free competition was predominant, was reached in the 'sixties and 'seventies of the last century. We now see that it is *precisely after that period* that the "boom" in colonial annexations begins, and that the struggle for the territorial division of the world becomes extraordinarily keen. It is beyond doubt, therefore, that capitalism's transition to the stage of monopoly capitalism, to finance capital, is *bound up* with the intensification of the struggle for the partition of the world.

Hobson, in his work on imperialism, marks the years 1884-1900 as the period of the intensification of the colonial "expansion" of the chief European states. According to his estimate, Great Britain during these years acquired 3,700,000 square miles of territory with a population of 57,000,000; France acquired 3,600,000 square miles with a population of 16,700,000; Belgium 900,000 square miles with 30,000,000 inhabitants; Portugal 800,000 square miles with 9,000,000 inhabitants. The quest for colonies by all the capitalist states at the end of the nineteenth century and particularly since the 1880's is a commonly known fact in the history of diplomacy and of foreign affairs.

When free competition in Great Britain was at its zenith, *i.e.*, between 1840 and 1860, the leading British bourgeois politicians were opposed to colonial policy and were of the opinion that the liberation of the colonies and their complete separation from Britain was inevitable and desirable. M. Beer, in an article, "Modern British Imperialism,"² published in 1898, shows that in 1852, Disraeli, a statesman generally inclined towards imperialism, declared: "The colonies are millstones round our necks." But at the end of the nineteenth century the heroes of the hour in England were Cecil

¹Henry C. Morris, *The History of Colonization*, New York, 1900, II, p. 88; I, pp. 304, 419.
²*Die Neue Zeit*, XVI, I, 1898, p. 302.

Rhodes and Joseph Chamberlain, open advocates of imperialism, who applied the imperialist policy in the most cynical manner.

It is not without interest to observe that even at the time these leading British bourgeois politicians fully appreciated the connection between what might be called the purely economic and the politico-social roots of modern imperialism. Chamberlain advocated imperialism by calling it a "true, wise and economical policy," and he pointed particularly to the German, American and Belgian competition which Great Britain was encountering in the world market. Salvation lies in monopolies, said the capitalists as they formed cartels, syndicates and trusts. Salvation lies in monopolies, echoed the political leaders of the bourgeoisie, hastening to appropriate the parts of the world not yet shared out. The journalist, Stead, relates the following remarks uttered by his close friend Cecil Rhodes, in 1895, regarding his imperialist ideas:

I was in the East End of London yesterday and attended a meeting of the unemployed. I listened to the wild speeches, which were just a cry for 'bread,' 'bread,' 'bread,' and on my way home I pondered over the scene and I became more than ever convinced of the importance of imperialism. . . . My cherished idea is a solution for the social problem, *i.e.*, in order to save the 40,000,000 inhabitants of the United Kingdom from a bloody civil war, we colonial statesmen must acquire new lands to settle the surplus population, to provide new markets for the goods produced by them in the factories and mines. The Empire, as I have always said, is a bread and butter question. If you want to avoid civil war, you must become imperialists. . . .³

IMPERIALISM AS A SPECIAL STAGE OF CAPITALISM

We must now try to sum up and put together what has been said above on the subject of imperialism. Imperialism emerged as the development and direct continuation of the fundamental attributes of capitalism in general. But capitalism only became capitalist imperialism at a definite and very high stage of its development, when certain of its fundamental attributes began to be transformed into their opposites, when the features of a period of transition from capitalism to a higher social and economic system began to take shape and reveal themselves all along the line. Economically, the main thing in this process is the substitution of capitalist monopolies for capitalist free competition. Free competition is the fundamental attribute of capitalism, and of commodity production generally. Monopoly is exactly the opposite of free competition; but we have seen the latter being transformed into monopoly before our very eyes, creating large-scale industry and eliminating small industry, replacing large-scale industry by still larger-scale industry, finally leading to such a concentration of production and capital that monopoly has been and is the result: cartels, syndicates and trusts, and merging with them, the capital of a dozen or so banks manipulating thousands of millions. At the same time monopoly, which has grown out of free competition, does not abolish the latter, but exists over it and alongside of it, and thereby gives rise to a number of very acute, intense

³*Ibid.*, p. 304.

antagonisms, friction and conflicts. Monopoly is the transition from capitalism to a higher system.

If it were necessary to give the briefest possible definition of imperialism we should have to say that imperialism is the monopoly stage of capitalism. Such a definition would include what is most important, for, on the one hand, finance capital is the bank capital of a few big monopolist banks, merged with the capital of the monopolist combines of manufacturers; and, on the other hand, the division of the world is the transition from a colonial policy which has extended without hindrance to territories unoccupied by any capitalist power, to a colonial policy of monopolistic possession of the territory of the world which has been completely divided up.

But very brief definitions, although convenient, for they sum up the main points, are nevertheless inadequate, because very important features of the phenomenon that has to be defined have to be especially deduced. And so, without forgetting the conditional and relative value of all definitions, which can never include all the concatenations of a phenomenon in its complete development, we must give a definition of imperialism that will embrace the following five essential features:

- 1) The concentration of production and capital developed to such a high stage that it created monopolies which play a decisive role in economic life.
- 2) The merging of bank capital with industrial capital, and the creation, on the basis of this "finance capital," of a "financial oligarchy."
- 3) The export of capital, which has become extremely important, as distinguished from the export of commodities.
- 4) The formation of international capitalist monopolies which share the world among themselves.
- 5) The territorial division of the whole world among the greatest capitalist powers is completed. . . .

Finance capital and the trusts are increasing instead of diminishing the differences in the rate of development of the various parts of world economy. When the relation of forces is changed, how else, *under capitalism*, can the solution of contradictions be found, except by resorting to *violence*? Railway statistics provide remarkably exact data on the different rates of development of capitalism and finance capital in world economy. In the last decades of imperialist development, the total length of railways has changed as follows:

Railways (thousand kilometers)			
	1890	1913	Increase
Europe	224	346	122
U.S.A.	268	411	143
Colonies (total)	82	210	128
Independent and semi-dependent states of Asia and America	43	137	94
Total	617	1,104	222

Thus, the development of railways has been more rapid in the colonies and in the independent (and semi-dependent) states of Asia and America. Here, as we know, the finance capital of the four or five biggest capitalist states reigns undisputed. Two hundred thousand kilometres of new railways in the colonies and in the other countries of Asia and America represent more than 40,000,000,000 marks in capital, newly invested on particularly advantageous terms, with special guarantees of a good return and with profitable orders for steel works, etc., etc.

Capitalism is growing with the greatest rapidity in the colonies and in overseas countries. Among the latter, *new* imperialist powers are emerging (e.g., Japan). The struggle of world imperialism is becoming more acute. The tribute levied by finance capital on the most profitable colonial and overseas enterprises is increasing. In sharing out this "booty," an exceptionally large part goes to countries which, as far as the development of productive forces is concerned, do not always stand at the top of the list. In the case of the biggest countries, considered with their colonies, the total length of railways was as follows (in thousands of kilometres):

	1890	1913	Increase
U.S.A.	268	413	145
British Empire	107	208	101
Russia	32	78	46
Germany	43	68	25
France	41	63	22
Total	491	830	339

Thus, about 80 per cent of the total existing railways are concentrated in the hands of the five Great Powers. But the concentration of the *ownership* of these railways of finance capital, is much greater still: French and English millionaires, for example, own an enormous amount of stocks and bonds in American, Russian and other railways.

Thanks to her colonies, Great Britain has increased the length of "her" railways by 100,000 kilometres, four times as much as Germany. And yet, it is well known that the development of productive forces in Germany, and especially the development of the coal and iron industries, has been much more rapid during this period than in England—not to mention France and Russia. In 1892, Germany produced 4,900,000 tons of pig iron and Great Britain produced 6,800,000 tons; in 1912 Germany produced 17,600,000 tons and Great Britain 9,000,000 tons. Germany, therefore, had an overwhelming superiority over England in this respect. We ask, is there *under capitalism* any means of removing the disparity between the development of productive forces and the accumulation of capital on the one side, and the division of colonies and "spheres of influence" for finance capital on the other side—other than by resorting to war?

IMPERIALISM AND CAPITALISM

Joseph Schumpeter

Our analysis of the historical evidence has shown, first, the unquestionable fact that "objectless" tendencies toward forcible expansion, without definite, utilitarian limits—that is, non-rational and irrational, purely instinctual inclinations toward war and conquest—play a very large role in the history of mankind. It may sound paradoxical, but numberless wars—perhaps the majority of all wars—have been waged without adequate "reason"—not so much from the moral viewpoint as from that of reasoned and reasonable interest. The most herculean efforts of the nations, in other words, have faded into the empty air. Our analysis, in the second place, provides an explanation for this drive to action, this will to war—a theory by no means exhausted by mere references to the "urge" or an "instinct." The explanation lies, instead, in the vital needs of situations that molded peoples and classes into warriors—if they wanted to avoid extinction—and in the fact that psychological dispositions and social structures acquired in the dim past in such situations, once firmly established, tend to maintain themselves and to continue in effect long after they have lost their meaning and their life-preserving function. Our analysis, in the third place, has shown the existence of subsidiary factors that facilitate the survival of such dispositions and structures—factors that may be divided into two groups. The orientation toward war is mainly fostered by the domestic interests of ruling classes, but also by the influence of all those who stand to gain individually from war policy, whether economically or socially. Both groups of factors are generally overgrown by elements of an altogether different character, not only in terms of political phraseology, but also of psychological motivation. Imperialisms differ greatly in detail, but they all have at least these traits in common, turning them into a single phenomenon in the field of sociology, as we noted in the introduction.

Imperialism thus is atavistic in character. It falls into that large group of surviving features from earlier ages that play such an important part in every concrete social situation. In other words, it is an element that stems from the living conditions, not of the present, but of the past—or, put in terms of the economic interpretation of history, from past rather than present relations of production. It is an atavism in the social structure, in individual, psychological habits of emotional reaction. Since the vital needs that created it have passed away for good, it too must gradually disappear, even though every warlike involvement, no matter how non-imperialist in character, tends to revive it. It tends to disappear as a structural element because the structure that brought it to the

Joseph Schumpeter, "Imperialism and Capitalism," in *Imperialism/Social Classes: Two Essays by Joseph Schumpeter*, Heinz Norden, trans. (Cleveland: World, 1968), originally published in 1919.